Ch. 4 Non-Textbook Questions

Principles of Microeconomics

June 23, 2026

1. Assume that demand for coffee is given by $Q_D = 30 - 2P$, and supply is given by $Q_S = 4P$.
   (a) What is the equilibrium price of coffee?
   (b) What is the equilibrium quantity of coffee?
2. Suppose that global demand for kombucha is $Q_D = 144 - 12P$, and global supply is $Q_S = 16 + 4P$.
   (a) What are the equilibrium price and quantity in the global kombucha market?
   (b) Suppose domestic (i.e. not foreign) demand for kombucha is $Q_{D,Dom} = 80 - 8P$, and suppose foreign demand increases by 50%. What is the new equilibrium price in the global kombucha market?